1Test Revision

1. Explain 2 causes of economic growth

A rise in aggregate demand due to an increase in consumer confidence. Increased consumer confidence results in households spending more of their savings on goods and services from producers. This increases consumer spending C and rises aggregate demand thus rising economic growth

An increase in Aggregate Supply would also result in a rise in long term economic growth. An increase in capital investment results in an increase in productive capacity

1. Explain 2 causes of Inflation. (1 Demand Pull and 1 Cost Push)

Demand pull inflation occurs when aggregate demand is rising at a rate that is not matched by the output of goods and services. This could be caused by a rise in consumer confidence which would rise consumer expenditure thus increasing AD.

Cost push inflation occurs when rising production costs (cost of production) are passed on to consumers who then pay higher prices for final goods and services. This is linked to the supply side (AS). Caused by a consistent rise in cost of production due to factors such as higher wages.

Demand pull inflation

1. Explain (using examples) 2 effects of inflation

An internal effect of inflation is the loss of confidence in currency. As the general price level rises the power of money falls which means that the domestic currency will have lower purchasing power. This undermines people's confidence in the currency therefore making them less willing to hold currency. Internal value of money falls meaning that people will preserve wealth by buying assets from foreign currencies. This causes the domestic currency to depreciates due to lower demand and assets further increase in price.

The distribution of income in an economy would change due to inflation. For example the relationship between a debtor and a creditor. Since the real value of their money has fallen the debtor debt now has a lesser value in comparison to before the inflation thus encouraging borrowing. However, for the creditor the value of their loans being paid back is now lower which discourages lending.

1. Explain the positive and negative effects of economic growth.

A positive aspect of economic growth is a higher national income which gives the opportunity to satisfy more wants. This increases material standard of living (SOL) as consumers opportunities have now been broadened and they can purchase goods with more confidence due to their higher disposable income.

Since income is high and far more money is being used in transactions there is a large dividend being given to the government. This means that they can increase spending on public and merit goods which would have a positive impact on non-material standard of living. This includes goods such as Education which are merit goods and thus have a positive externality of a more educated society.

However, economic growth also brings about structural unemployment due to new jobs being required which many workers dont meet the necessary skill level. This means taht citizens are unemployed for longer periods of time which results on standard of living falling. An externality is also incurred as their mental health and wellbeing will have to be paid for in the form of government benefits thus increasing government spending and debt.

The extra stress of a growing industry can also be a burden on people. A great amount of stress is endured especially in the act of trying to maintain economic growth. This results in higher suicide rates and crime rates for citizens who look for a way out of this stress due to their non material welfare being essentially traded for the material welfare of the society.